

KASNEB PASTPAPERS · CPA STUDY MATERIALS

Introduction to Finance and Investments — PREVIEW

Course: CIFA — Certified Investment and Financial Analysts | **Level:** Foundation Level

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

1. The role of the financial system — *included in this preview*
 2. Financial intermediaries — full version only
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 4. Equity securities, basics — full version only
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 6. Collective investment schemes — full version only
 7. The risk-return relationship — full version only
 8. Types of investment risk — full version only
 9. Full worked question — computing expected return and comparing risk — full version only
 10. Practice examination — KASNEB-style paper — *Question One shown below; Questions Two–Five full version only*
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1. The role of the financial system

The **financial system** channels funds from those with surplus funds (savers/investors) to those needing funds (borrowers/businesses), enabling capital to be allocated to productive uses across the economy.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CIFA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CIFA FOUNDATION LEVEL — INTRODUCTION TO FINANCE AND INVESTMENTS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Explain the role of the financial system in an economy. (8 marks)
- (b) Explain the role of a financial intermediary, with one example. (6 marks)
- (c) Distinguish between money markets and capital markets. (6 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes equity and debt securities, collective investment schemes, the risk-return relationship, types of investment risk, a fully worked expected-return question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.